

Money

- Money in the form of wages, piecework, incentive pay, bonuses, stock options, company-paid insurance, or any other thing given to people for performance, is important.
- Money is often more than monetary value; it can also mean status or power or other things.
- Money is more important to people who are raising a family, than to people who have “arrived.”
- In organizations, money is used as a means of keeping an organization adequately staffed and not primarily as a motivator.
- Money as a motivator tends to be dulled somewhat by the practice of making the salaries of the various managers in a company reasonably similar.
- Money to be effective motivator, people in various positions, even though at a similar level, must be given salaries and bonuses that reflect their individual performance.
- Money can motivate only when the prospective payment is large relative to a person’s income. Many wage and salary increases are not large enough to motivate the receiver.

Other Rewards Considerations

- Implicit in most motivation theories are intrinsic and extrinsic rewards.
- **Intrinsic rewards** – may include a feeling of accomplishment and self-actualization.
- **Extrinsic rewards** – include benefits, recognition, status symbols, and money.
- **Pay** based solely on **individual performance** will lead to **competition** among each other – ‘variable salary component’
- **Pay** based on group performance leads to **some individuals not contributing** to the effort – ‘free rider’
- **Pay** based on **organizational performance** is based on the notion that **employees contribute to outstanding performance, and therefore should be rewarded** – ‘annual performance bonus’

Job enrichment

It is related to Herzberg's theory of motivation, in which, challenge, achievement, recognition, and responsibility are seen as the real motivators.

- **Job enrichment** – building into jobs a higher sense of challenge and achievement.
- **Job enlargement** – enlarging the scope of the job by adding similar tasks without enhancing responsibility.

Leadership

- Leadership and motivation are closely interconnected.
- **Leadership** – the art or process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals.

The art of leadership has the following main ingredients:

1. The ability to use power effectively and in a responsible manner.
2. The ability to comprehend that human beings have different motivating forces at different times and in different situations.
3. The ability to inspire
4. The ability to act in a manner that will develop a climate conducive to responding to and arousing motivations.

Trait Approaches to Leadership

“Great man” theory – leaders are born and not made.

Specific traits related to leadership:

- 5 physical traits – energy, appearance, height.
 - 4 intelligence and ability traits
 - 16 personality traits – adaptability, aggressiveness, enthusiasm, and self-confidence.
 - 6 task-related characteristics – achievement drive, persistence, initiative
 - 9 social characteristics – cooperativeness, interpersonal skills, administrative ability
-
- Drive – achievement, motivation, energy, ambition, initiative, tenacity.
 - Leadership motivation – aspiration to lead, honesty and integrity, self-confidence, cognitive ability.

Traits – Big 5 Personality Model

Extraversion – sociable, assertive, active, energetic, zeal.

- Significantly related with leadership

Agreeableness – trusting, compliant, caring, gentle.

- Not significantly related with leadership

Conscientiousness – to be diligent, dependability.

- Significantly related with leadership

Openness – imaginative, non confirming, autonomous.

- Significantly related with leadership

Neuroticism – anxiety, insecurity, hostility

- Negatively correlated with leadership

Charismatic Leadership Approach

Charismatic leaders

- self-confident
- having strong convictions,
- articulating a vision,
- being able to initiate change,
- communicating high expectations,
- having a need to influence followers and supporting them,
- demonstrating enthusiasm and excitement, and
- being in touch with reality.

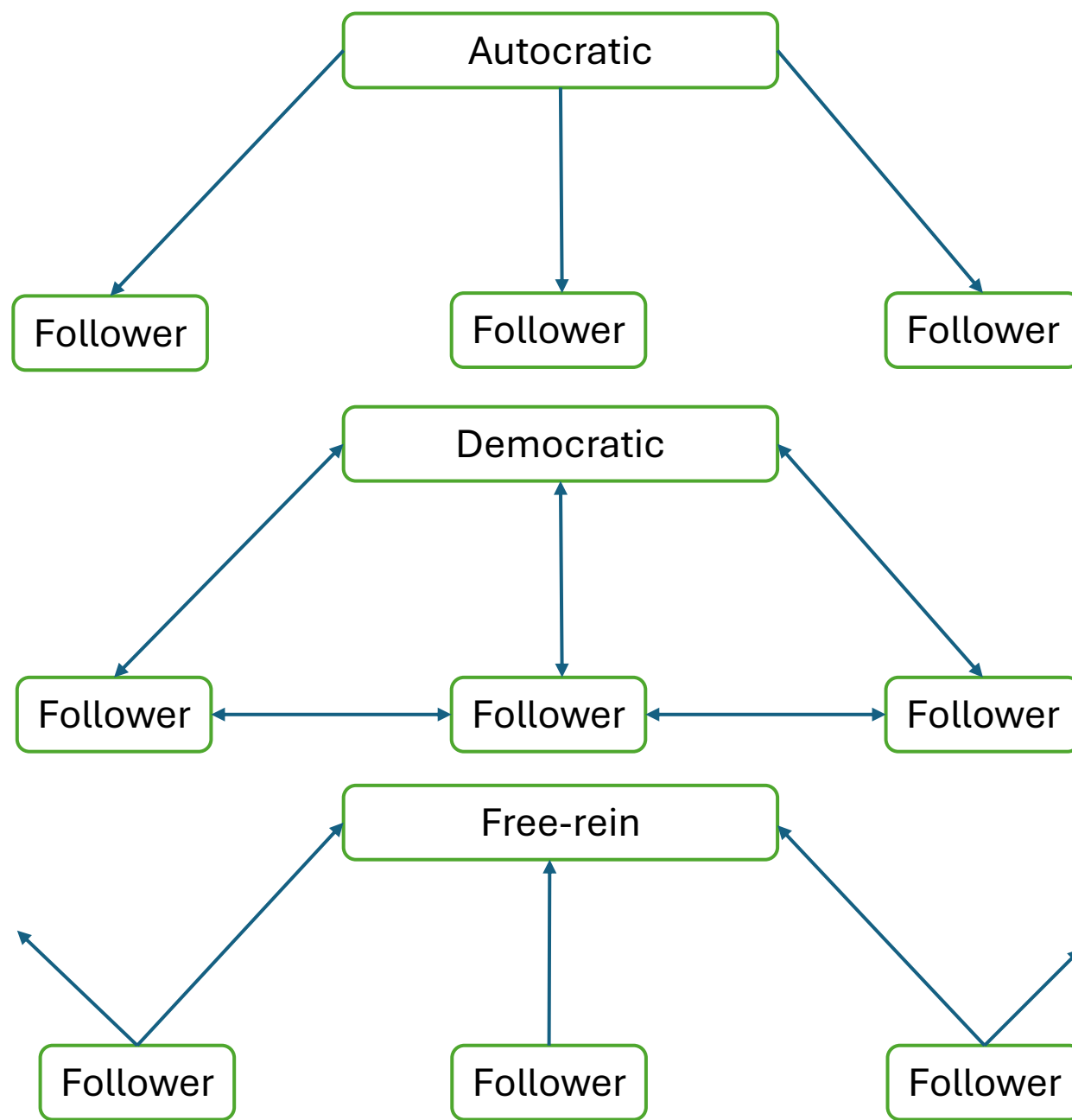
Leadership Behaviour and Styles

1. Leadership based on the use of authority
2. The managerial grid
3. Leadership involving a variety of styles

Styles Based on use of authority

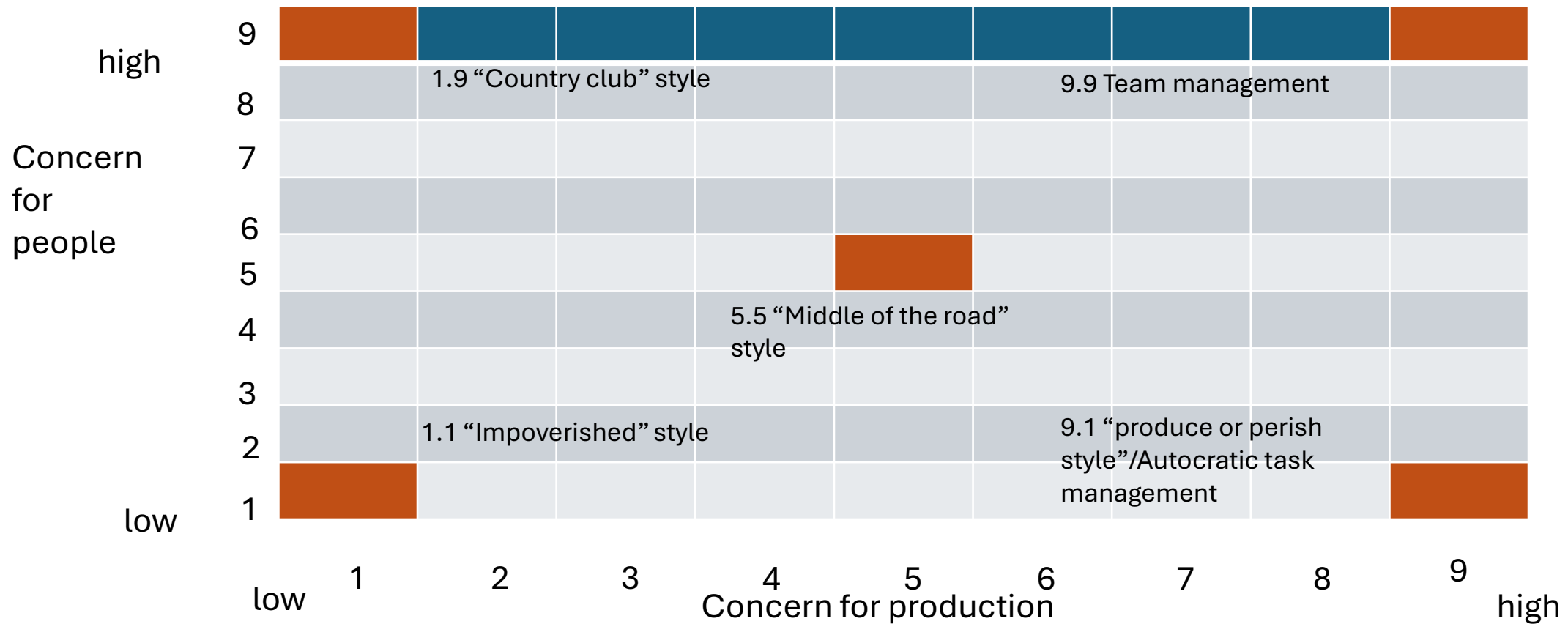
- **Autocratic leader** – commands and expects compliance, is dogmatic and positive, and leads by the ability to withhold or give rewards and punishment.
- **Democratic or Participative leader** – consults with subordinates on proposed actions and decisions and encourages participation from them.
- **The free-rein leader** – uses very little power, if at all, giving subordinates a high degree of independence.

The flow of influence with three leadership styles



The Managerial Grid – Blake and Mouton

- The Managerial Grid has two dimensions: concern for people and concern for production



1.1 (Impoverished Management) – Managers concern themselves very little with people or production.

9.9 (Team Management) – Managers display highest possible dedication to people and to production – Theory Y.

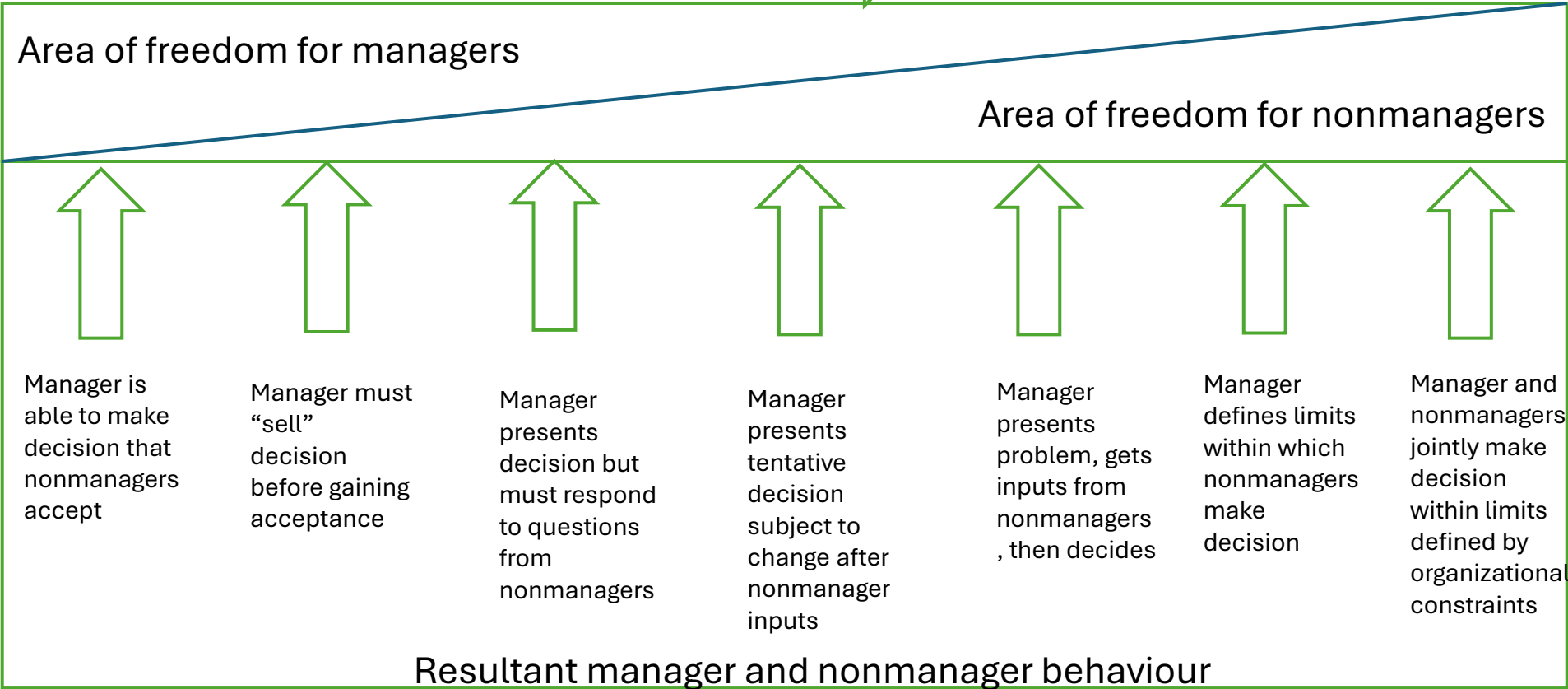
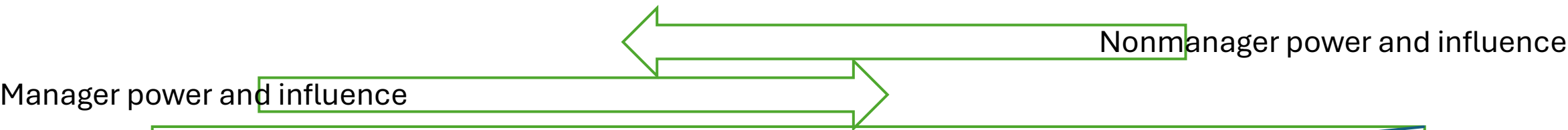
1.9 (Country club Management) – Managers have little or no concern for production but are concerned only for people.

9.1 (Autocratic task Managers) – Managers concerned only with developing an efficient operation, with little or no concern for people – Theory X.

5.5 (Middle of the road) – Medium concern for production and for people.

Leadership continuum concept – Leadership involves a variety of styles, ranging from one that is highly boss centered to one that is highly subordinate centered.

- The continuum theory recognizes that the appropriate style of leadership depends on the leader, the follower, and the situation.



Situational or Contingency Approaches to Leadership

Fiedler's Contingency Approach to Leadership

- **Contingency theory of leadership** – People become leaders not only because of their personality attributes, but also because of various situational factors and the interactions between leaders and group members.
- 3 dimensions
 - **Position power** – arising from organizational authority.
 - **Task structure** – clearly spell out tasks and hold people responsible.
 - **Leader-member relations** – extent to which group members trust and follow the leader.

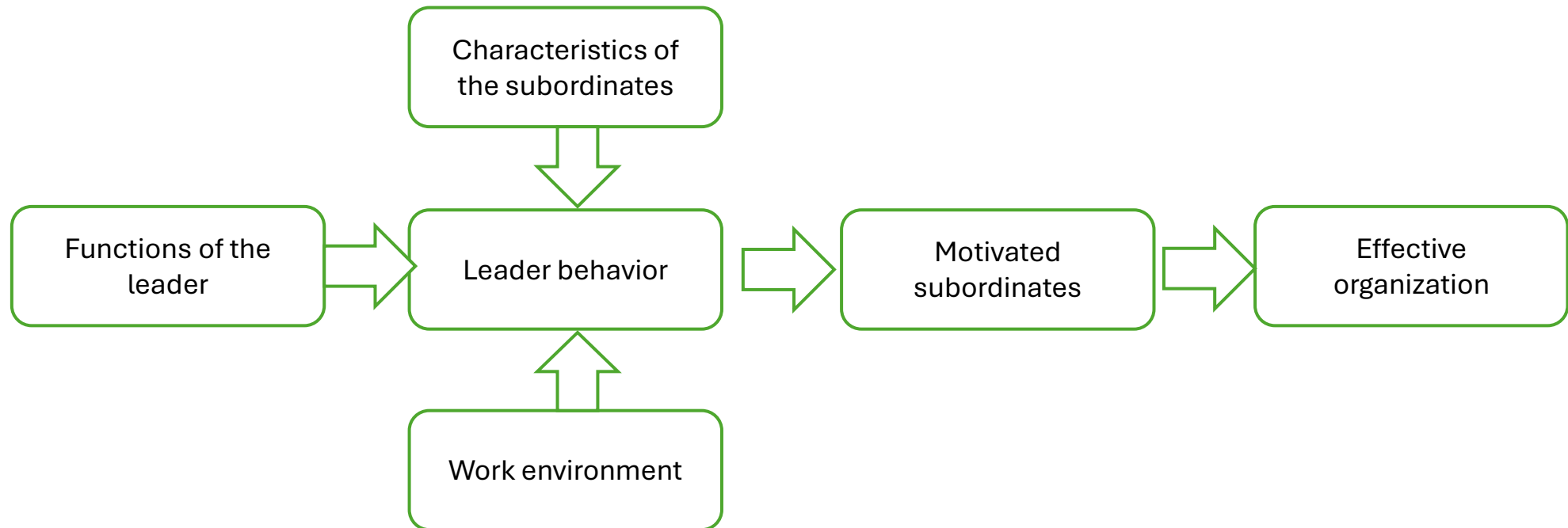
Least Preferred Co-worker – scale of 16 attributes

- High score – successful interpersonal relationships.
- Low score – task performance

“8 point semantic differential scale”

The Path-Goal Approach to Leadership

Path-goal Theory – The main function of the leader is to clarify and set goals with subordinates, help them find the best path for achieving the goals, and remove obstacles.



The Path-Goal Approach to Leadership

The theory categorizes leader behaviour into four groups

1. **Supportive leadership** – considers needs of subordinates, shows concern for well-being, creates pleasant organizational climate. *(Needed during physically distressing situations)*
2. **Participative leadership** – allows subordinates to influence their decisions, which may increase motivation. *(Needed when subordinates are highly involved in their work)*
3. **Instrumental leadership** – gives subordinates specific guidance and clarifies what is expected of them. *(Needed when tasks are ambiguous and intrinsically satisfying).*
4. **Achievement-oriented leadership** – setting challenging goals, seeking improvement of performance. *(Needed where achievement motives are more prominent – sales-persons, scientists, engineers, entrepreneurs).*